

NEGOTIATIONS

BERND WITTENBRINK

CHICAGO BOOTH 

Day 2

Distributive Negotiations

Leckenby Co.

Negotiation

One Mapletech - Yazawa



Example: Salary Negotiation

Position

"I want \$200,000"

Issue

Annual Salary

Interest

Compensation, Status, Fairness

Terms

Position

Specific outcomes or views stated by each party on a given issue

Issue

Items negotiated that are means to satisfy the parties' interests

Interest

Underlying concerns that motivate each party's preferences

Example: Yazawa

Position

"I can pay \$12/unit"

Issue

Pricing

Interest

Wasuzu contract, profitability

Terms

BATNA

- **B**est **A**lternative **T**o a **N**egotiated **A**greement
- Best outcome that is available to each party if this negotiation ends in an impasse.
- **Your back-up plan**

Example: M-Y BATNAs

Seller Mapletech	Buyer Yazawa
Do nothing; follow original schedule for capacity expansion	Go with alternative contract at \$35

Terms

Reservation Price

- Walk-away point in a negotiation
- The worst deal each party is willing to accept
- **Your bottom-line**

Example: M-Y RPs

Seller Mapletech	Buyer Yazawa
production cost: \$10/unit	alternative contract: \$35/unit

BATNA → Reservation Price

Current Apartment



Rent: \$3,500

New Apartment



BATNA

Reservation
Price

BATNA → Reservation Price

Current Apartment



Rent: \$3,500

New Apartment



\$3,500
+ Better Location
+ Magnificent View
- Moving Expenses

BATNA

Reservation
Price

Reservation
Price

\$5000

Terms

Target

- **Best** expected outcome
- Point at which you hope you will settle
- **Your goal**

DON'T make your Reservation Price your Target!

Example: M-Y Targets

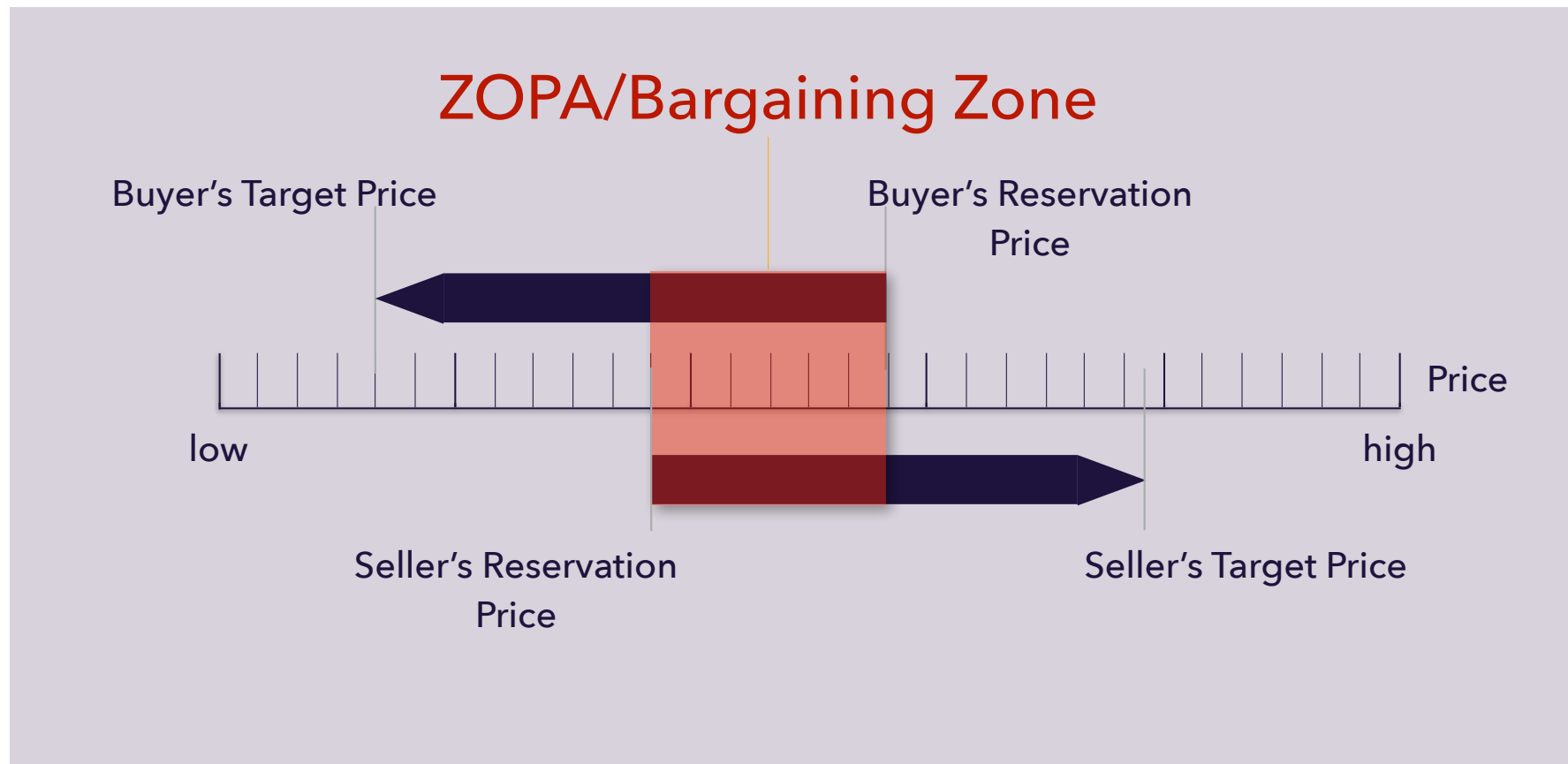
Seller Mapletech	Buyer Yazawa
"Imagine you could make \$30/unit..."	"See if you can settled below the \$15 Wazuzu contract price"

Terms

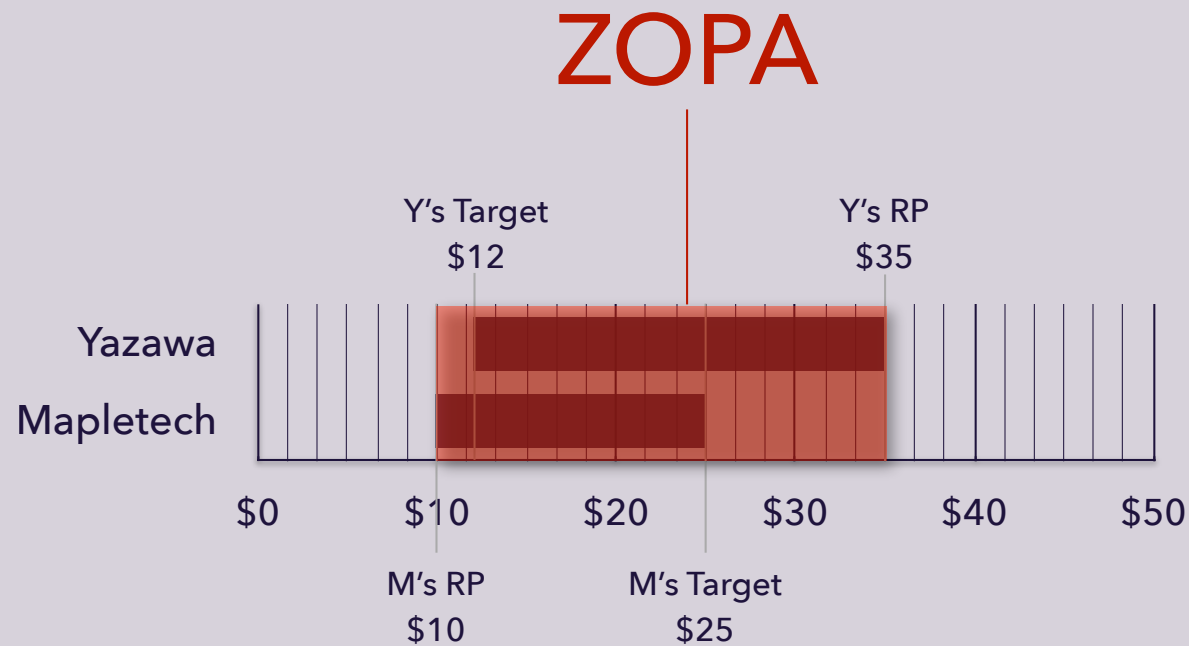
ZOPA

- **Z**one **O**f **P**ossible **A**greement
- The space between the buyer's and the seller's Reservation Price.
- **Your opportunities**

ZOPA



Example: M-Y ZOPA



ZOPA

Negative ZOPA



Optional Materials

- Wu (1996): Exercises in Negotiation Analysis
BATNA, Reservation Prices, etc.

Mapletech - Yazawa

Seller Mapletech	Buyer Yazawa
excess capacity of 60,000 units available within 3 months for 12 months	capacity shortage of 60,000 units required within 3 months for 12 months

Mapletech - Yazawa

Seller Mapletech	Buyer Yazawa
PRICING: production cost: \$10/unit no opportunity cost	PRICING: alt. offer: \$35/unit contract: \$15/unit

Distributive Negotiations

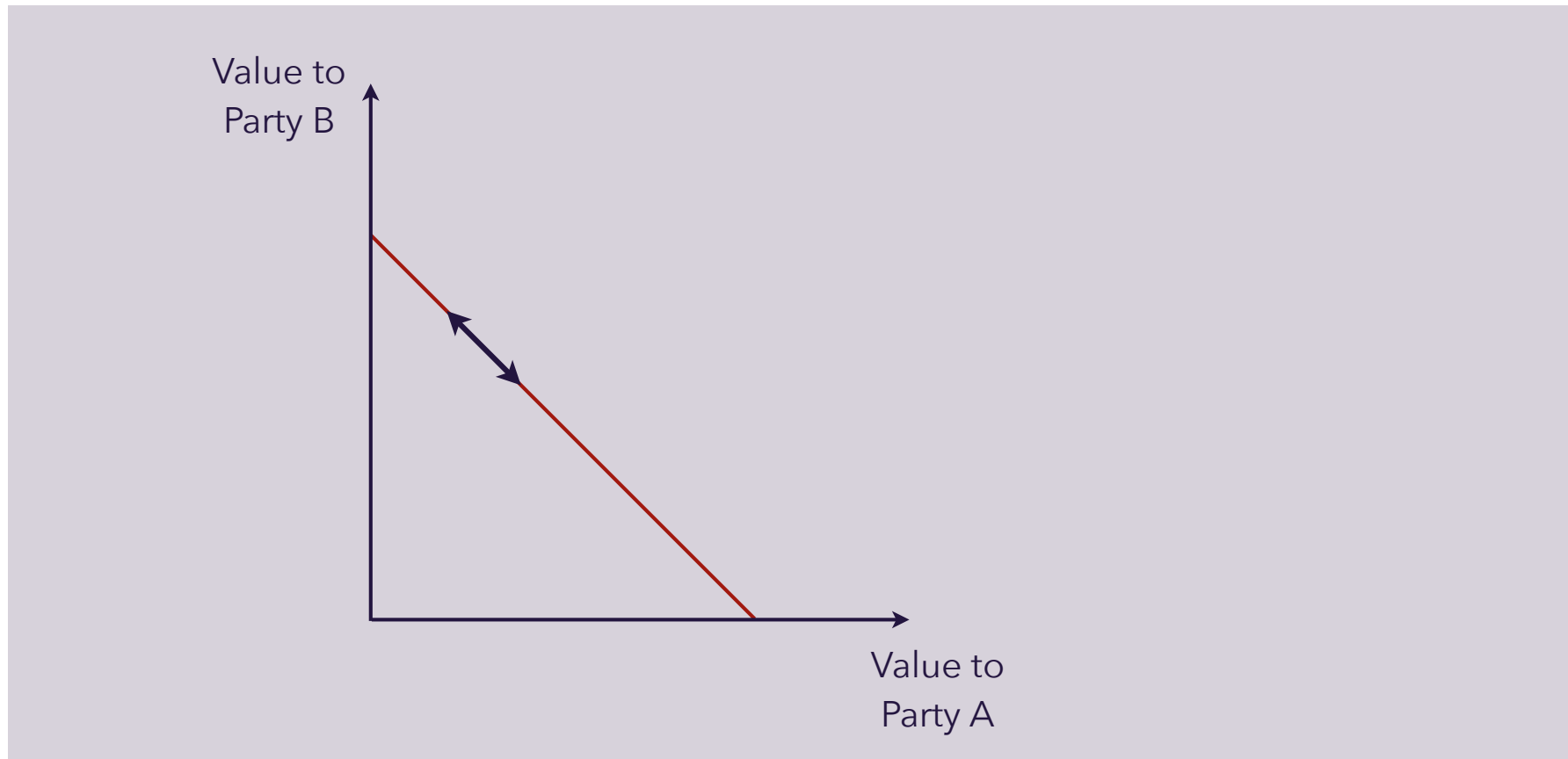


Party A

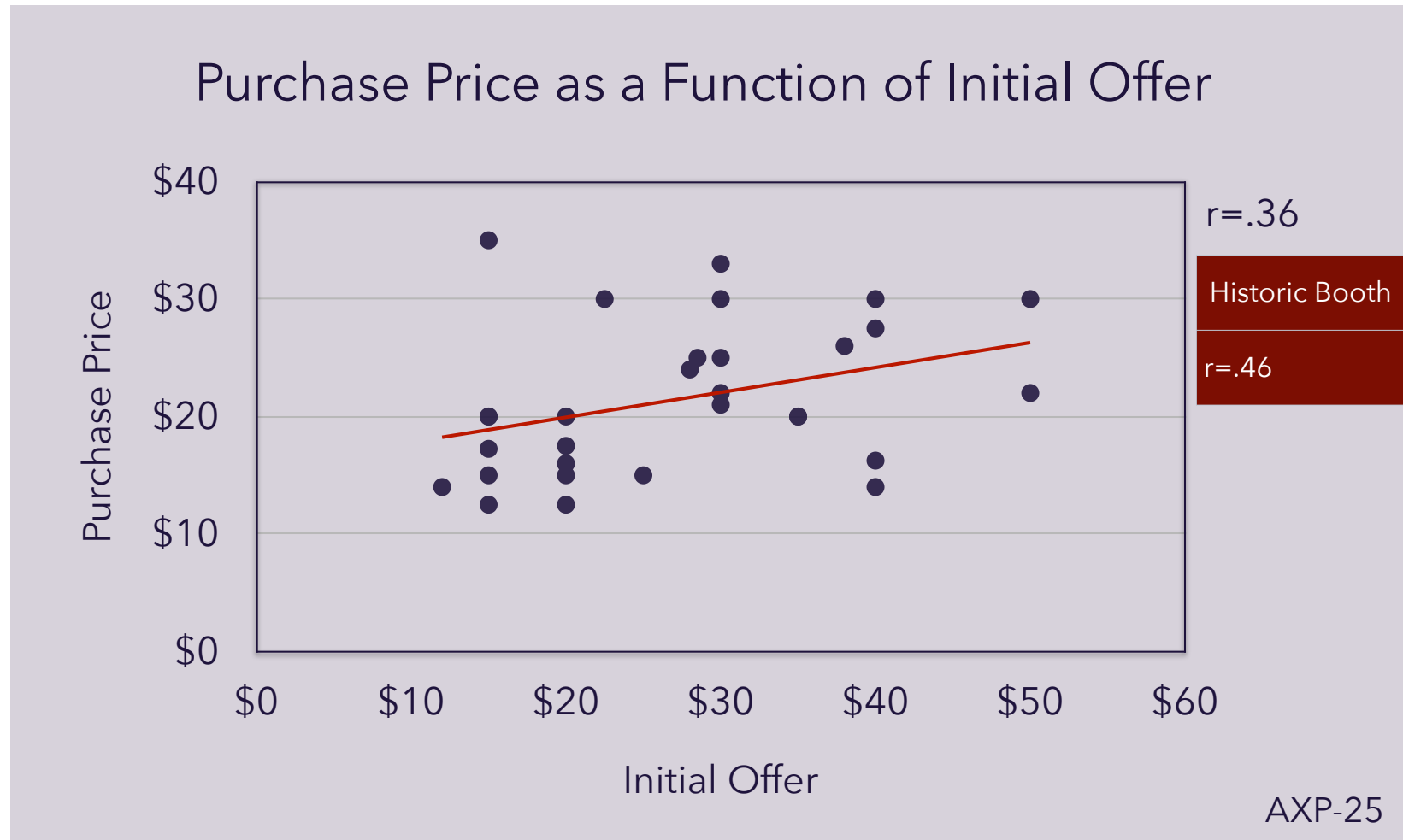


Party B

Distributive Negotiations

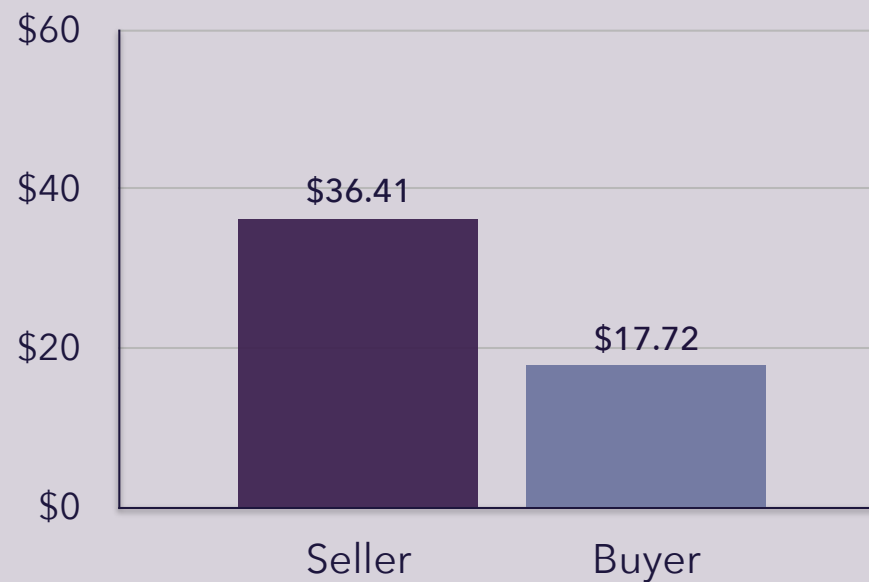


M-Y Results



M-Y Results

Average Initial Offer



n	22	9
Range	15 - 50	12 - 30
Historic Booth	10 - 500 [*]	1 - 32

AXP-25

^{*} both low and high set by AXP-24

Anchoring

Unknown or uncertain value estimates are influenced by anchors in 2 ways:

- Insufficient adjustment
- Biased information use

Anchoring

Insufficient Adjustment

We start with an initial value (anchor) and adjust for additional relevant information. Often the adjustment is insufficient, and the estimate ends up being too close to the initial starting value.

Anchoring

Biased Information Use

Our estimate is based on selective information that comes to mind because of an anchor.

Anchoring

In Economic Forecasts by Booth Students

U.S. Prime Rate

Interest rate charged by banks to their most creditworthy customers (usually the most prominent and stable business customers).

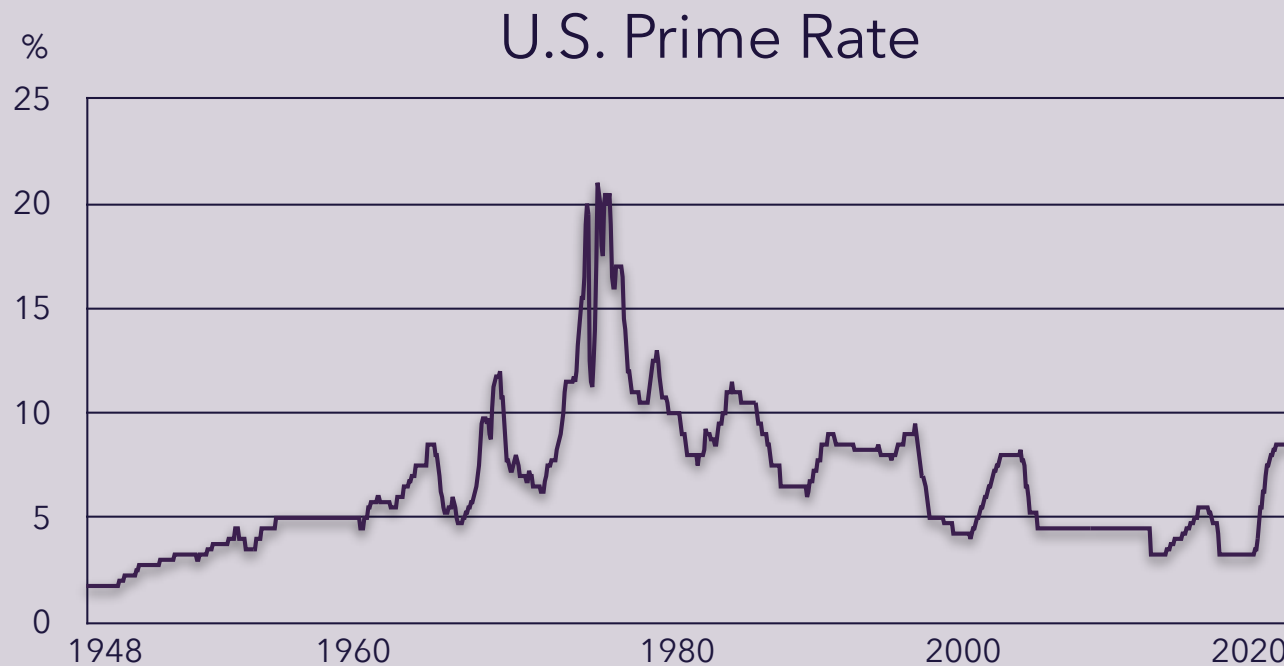
The rate is almost always the same amongst major banks. Adjustments to the prime lending rate are made by banks at the same time.

8.50%

September, 2024

Anchoring

In Economic Forecasts by Booth Students



Anchoring

In Economic Forecasts by Booth Students

What is your best estimate of the U.S. prime rate a year from now?	5.11%
Do you believe that a year from now the U.S. prime rate will be above or below 8 percent? What is your best estimate of the prime rate a year from now?	6.25%
Do you believe that a year from now the U.S. prime rate will be above or below 15 percent? What is your best estimate of the prime rate a year from now?	7.61%

Data: Miller 2024

Who should make the first offer?

YOU

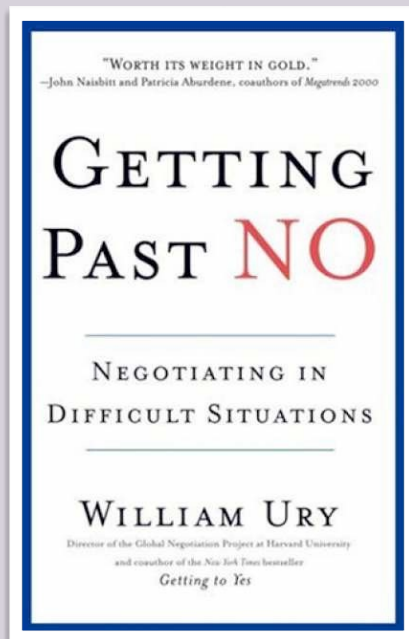
THE BOTTOM LINE

First Offer



- Shoot for your target
- Don't anchor on the other's Reservation Price
- Make it stick
- Don't negotiate with yourself!

First Offer



Make your anchor count!

- Prepare, Prepare, Prepare
- Take the other side's perspective
- Don't negotiate with yourself

First Offer

Some Caveats:

- Lack of information
You ask for too little, if you are unprepared.
- Information asymmetry
If your counterparty lacks information, they may make a favorable first offer themselves.
- Adversarial Negotiation
You engender hostility with an extreme offer.

Results

Everyone reached a deal (almost)!

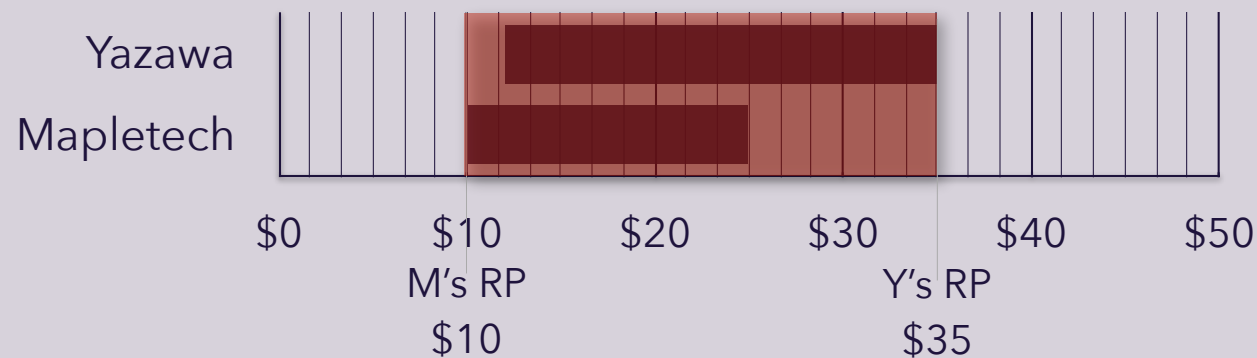


AXP-25

Results: Why no No-Deals?

Because of large ZOPA:

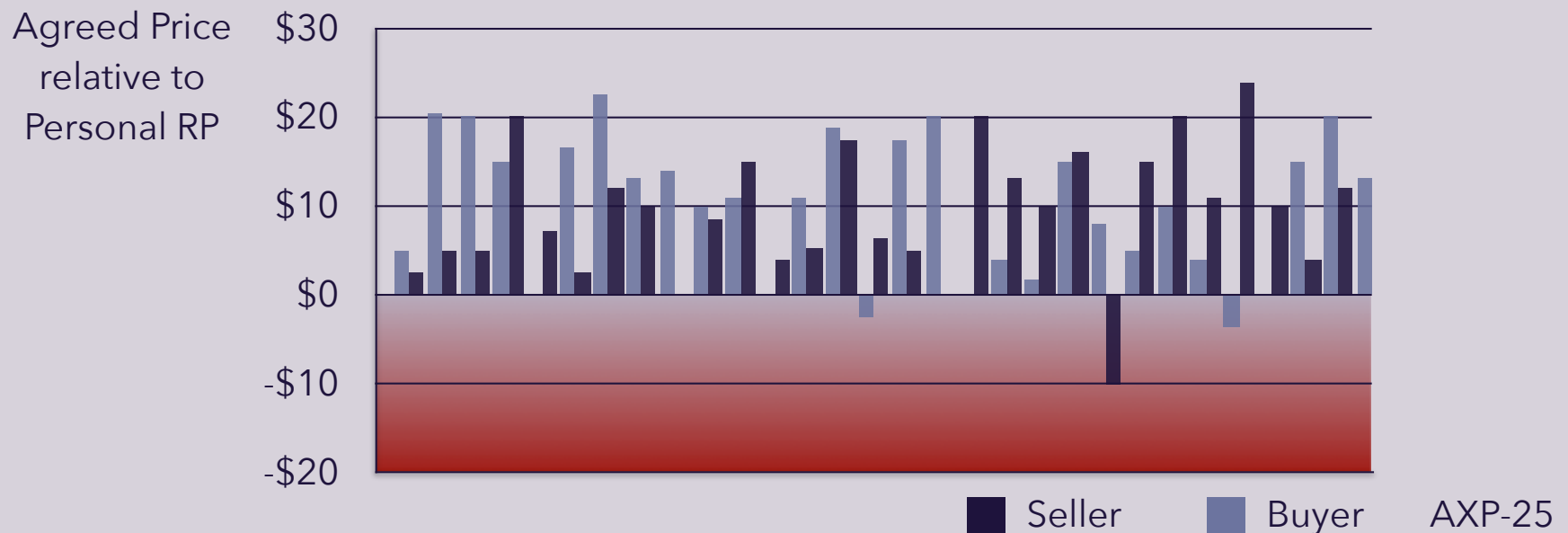
- It's easy for both parties to satisfy their interests



Results: Why no No-Deals?

Because of shifting Reservation Prices:

- Going beyond your RP: Despite large ZOPA, 4 Parties settled below their personal RP.



Respect your Interests!

(Remember your Reservation Price!)

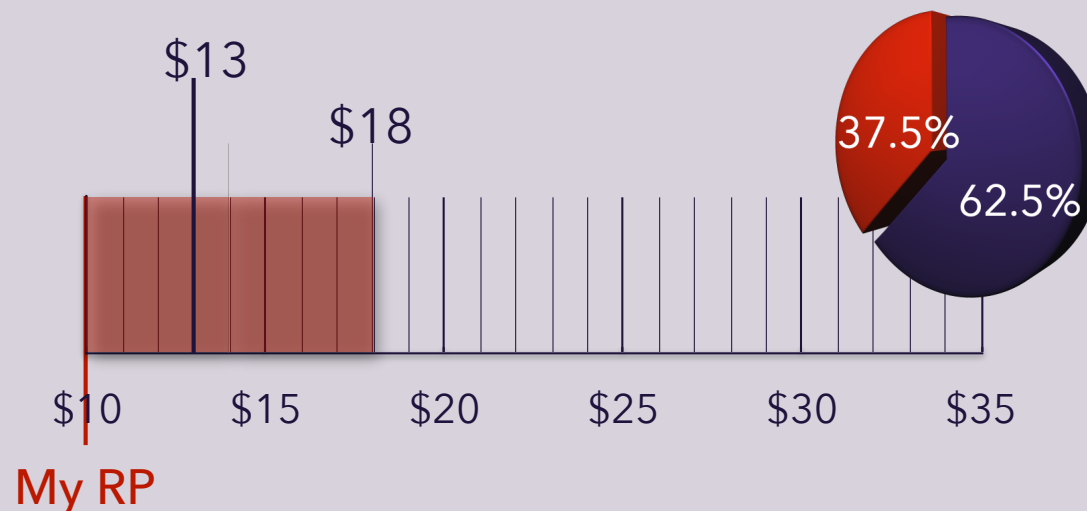
THE BOTTOM LINE

Results: Why few No-Deals?

Because of incorrect ZOPA estimates:

Both sides believe they received a large share of the pie.

Seller: Is the offer on the table a good deal?

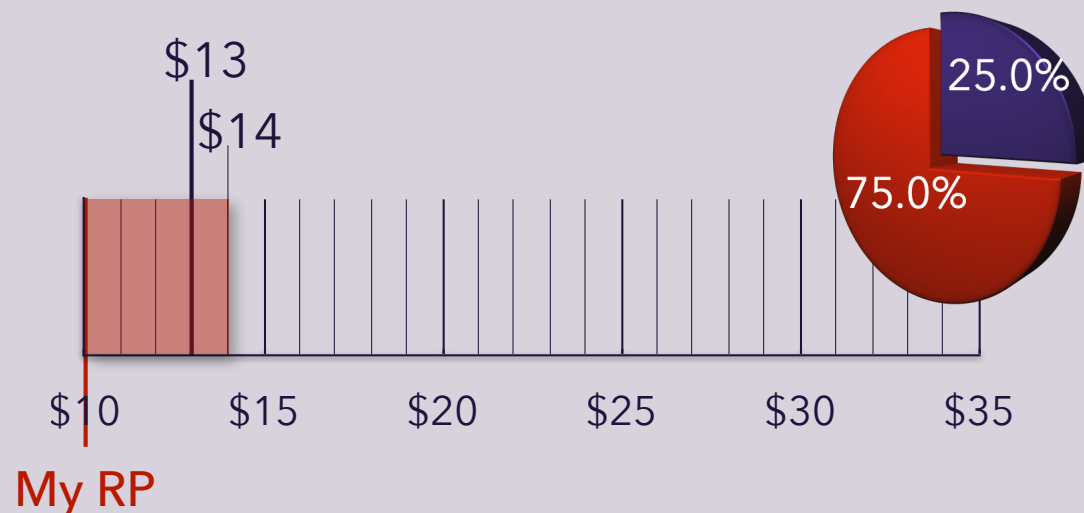


Results: Why few No-Deals?

Because of incorrect ZOPA estimates:

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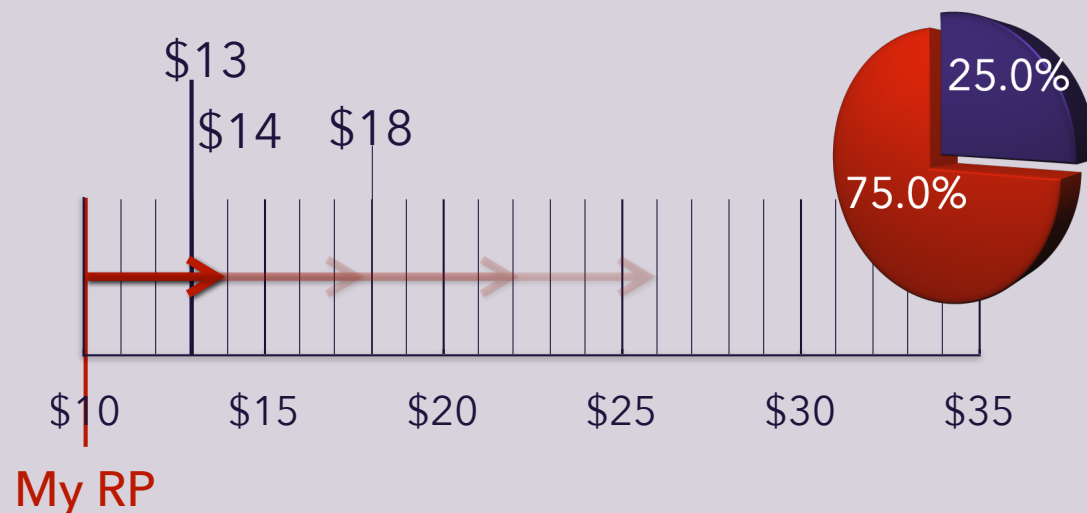
Seller: Is the offer on the table a good deal?



Results: Why few No-Deals?

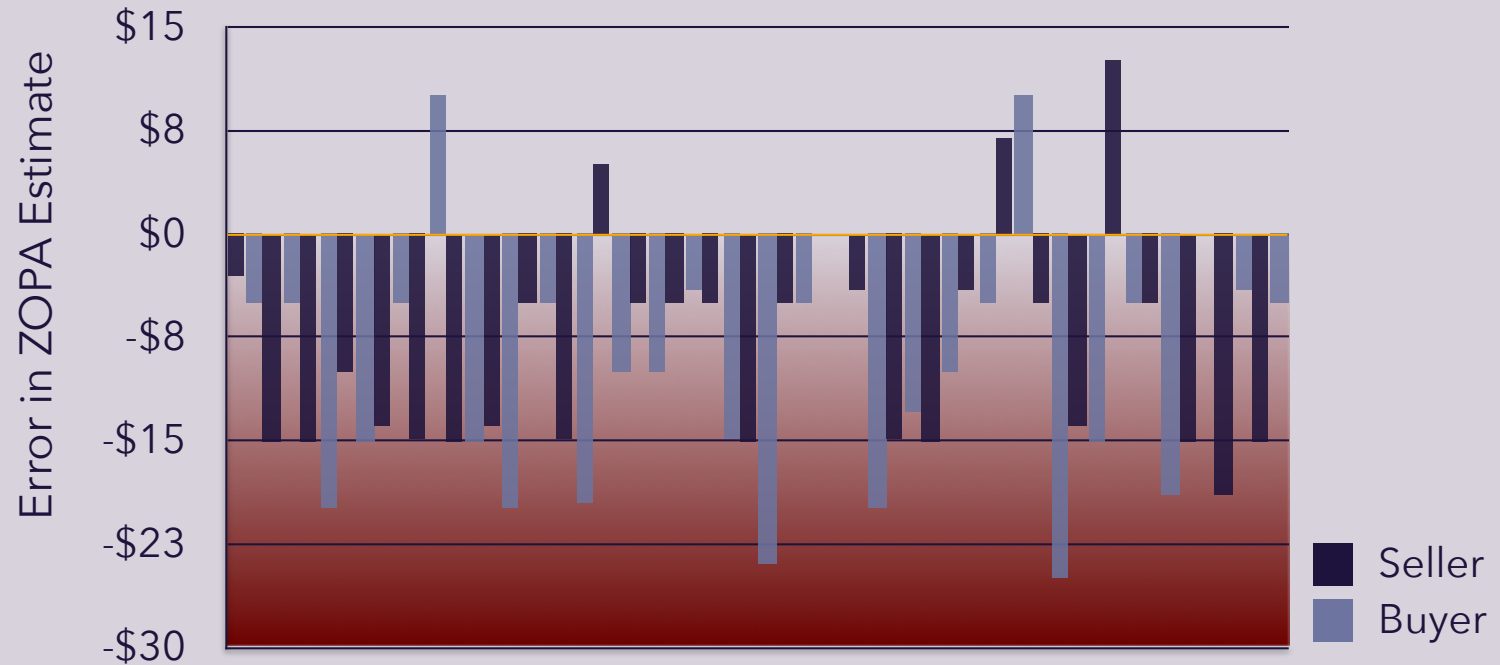
Because of incorrect ZOPA estimates:

Another Anchoring Effect: Our own RP influences estimates of the counter-party's RP - leading us to underestimate the total size of the pie.



Results: ZOPA Estimates

Buyers & Sellers underestimate the available ZOPA



Prepare!

Know yourself & know your Counter-Party

THE BOTTOM LINE

Strategic Advice

Distributive / Fixed Pie

One-shot / One-Issue Negotiations

- Make the first offer or immediately re-anchor with an extreme offer.
- In general, an extreme offer yields better outcomes.
- Make concessions early and smaller ones later.
- Make concessions and end-moves without an intervening concession by the other party.

NEGOTIATION
BERND WITTENBRINK

STRATEGIC ADVICE: Day 1

Keywords:
Distributive / Fixed Pie / One-shot / One-Issue Negotiation

MAKE THE FIRST OFFER OR IMMEDIATELY RE-ANCHOR IF THE OTHER PARTY OPENS WITH AN OFFER.

In general, the party who makes an aggressive first offer does better in this type of distributive negotiation.

PROS:

- Directs the negotiation toward your target and not your RP.
- Provides you with room to make concessions and appear generous.
- You can't get what you don't ask for!

Limitations:

- **Lack of information:** Offer too much if you are unprepared (Winner's Curse).
- **Information asymmetry:** If you have reason to believe the counterparty lacks information, you may want to see whether their first offer is favorable to you. If it is not, you know to re-anchor immediately.
- **Adversarial Negotiation:** Offend the other party and engender hostility with an extreme offer that is not supported by logic. However, in this type of negotiation, this fear might be more apparent than real.

DO:

- **Prepare, Prepare, Prepare:** Gather as much information as you can about yourself and the other party.
 - Know your BATNA and try to improve it.
 - Research the other party's BATNA and estimate their RP.
 - Develop arguments to make your Anchor "stick".
- **Determine your first offer and RP prior to sitting down.**
- **Make your first offer extreme – i.e., better than your target.**
- **Make larger concession early and smaller ones later.** This allows you to signal that you are getting close to your RP.
- **Prepare rationales for concessions and end-moves.**

DON'T:

- **Don't unnecessarily reveal information.**
- **Don't negotiate with yourself.** Make bilateral (not unilateral) concessions; i.e. don't make two concessions in a row, without an intervening concession by the other party.

...ner party opens

...er yields better
...ation.

...anchor the

Strategic Advice

Negotiations that are:

- Distributive or Fixed-Pie
- One-Shot
- One-Issue

Strategic Advice

Distributive / Fixed-Pie / One-shot / One-issue Negotiations

- Know & Develop your BATNA!

Negotiation

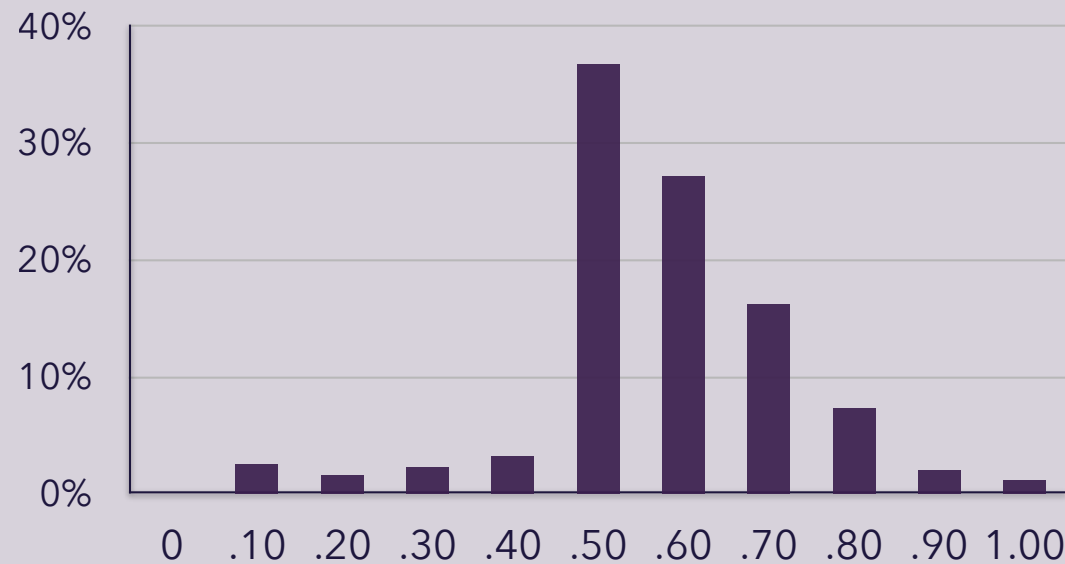
Two Leckenby Co.



Leckenby Co. Results

Booth Cumulative Results

Frequency of Negotiated Wage Rates

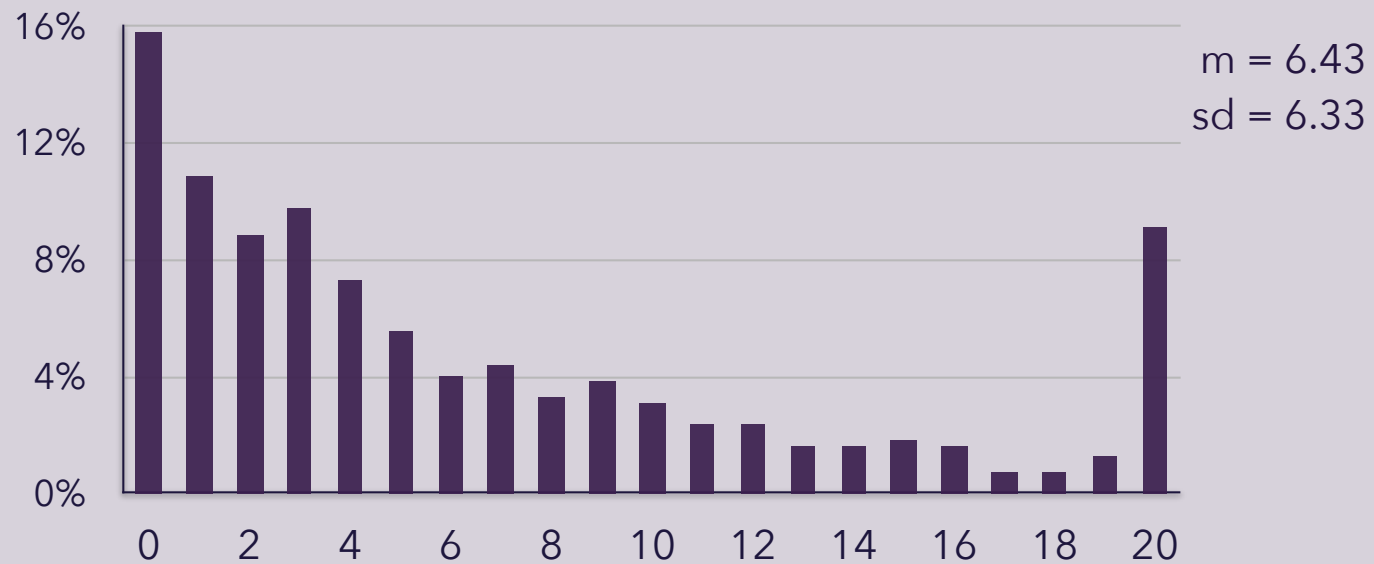


$m = 0.55$
 $sd = 0.15$

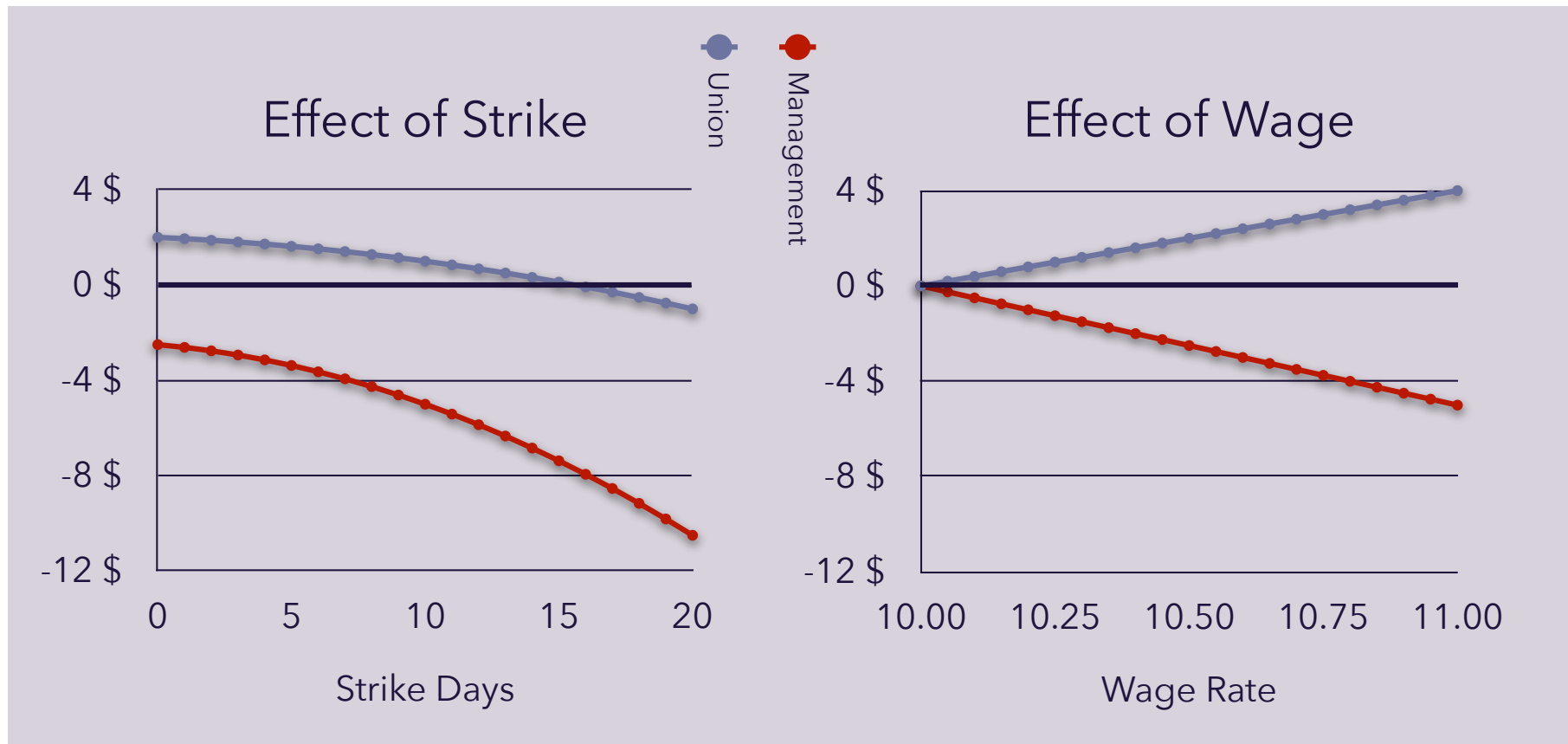
Leckenby Co. Results

Booth Cumulative Results

Frequency of Accumulated Strike Days



Leckenby Co.

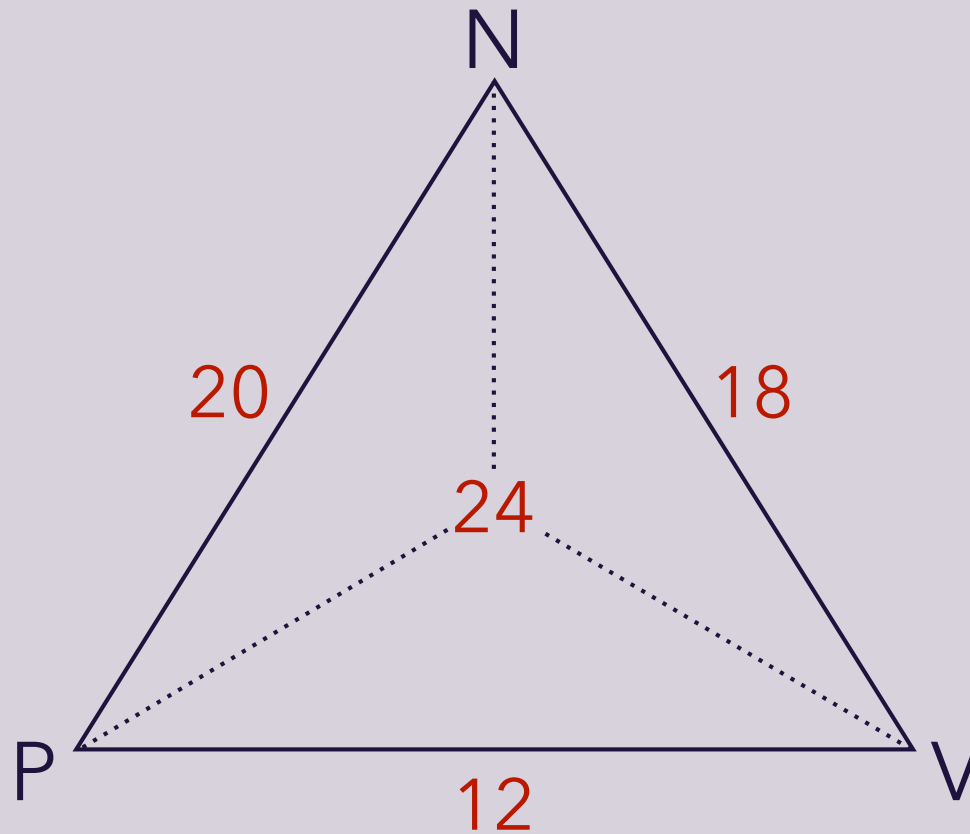


Negotiation

Three 3-Way Organization



3-Way



Materials On Canvas

STRATEGIC ADVICE 1

Distributive Negotiations

SLIDES

Day 2

OPTIONAL READINGS

Wu (1996): Exercises in Negotiation Analysis
BATNA, Reservation Prices, etc.

Galinsky & Mussweiler (2001): Anchoring

Review Session

	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday
12:00						
		Office Hours	Office Hours	Zoom Office Hours	Office Hours	Office Hours
13:00						
14:00	Day 1 Class	Day 2 Class	Day 3 Class		Day 4 Class	Day 5 Class
15:00						
16:00						
17:00						
	Office Hours	Review Session	Office Hours			
18:00						
19:00						

Today: 5:30 pm to 6:30 pm

Tomorrow

Negotiation

Four
moms.com

- Team Negotiation
- Your Study Group will represent the Buyer Team or Seller Team

Tomorrow

PREPARE

- Read Briefing for moms.com
 - **Buyer Team** or **Seller Team**
 - Prepare your Prep Worksheet individually
- Prepare Team Negotiation
 - Devise a Strategy with your Study Group

Tomorrow

Negotiation Teams

Booth 2+	Tan, Jun Yong
Booth 3	
Booth 4+	Zhu, Laurence
Booth 5	
Booth 7	
Booth 8+	Wang, Alex
Booth 9	
Booth 10+	Wu, David
Booth 11	
Booth 12+	Bai, Eve

Tomorrow

PREPARE

- moms.com
 - **Buyer**
or
Seller
- Devise a Team Strategy

TURN IN

- Individual Preparation Worksheet